FROGGO LEGAL AUDIT

Consulting Agreement

Perspective: Freelancer Lens | Document ID: DOC-MWDTSN4C-3MRK | Date: 12/11/2026

OVERALL CONTRACT RISK ESTIMATE

25 / 100

Rating: Moderate Terms

3 clauses analyzed under Indian contract guidelines.

Penalty Points Breakdown:

+25 pts — Post-Termination Non-Compete Restraint

Indian Statutory Compliance Audit

- **Section 27 (Indian Contract Act - Non-Competes):**
  Issue detected: Restraint of trade/non-compete clause found (Generally void under Section 27, Indian Contract Act, 1872)
- **MSME 45-Day Payment Rule (MSMED Act 2006):**
  Not detected in this text (No explicit payment term exceeding 45 days detected)
- **Section 194J TDS Deduction Rate:**
  Not detected in this text (Recommend explicitly specifying 2% TDS under Section 194J(b) for technical/software deliverables)
- **Section 43B(h) Income Tax Deduction Rule:**
  Not detected in this text (No delayed payment triggering Section 43B(h) deduction risks detected)
- **DPDP Act 2023 Data Protection Audit:**
  Not detected in this text (No explicit DPDP Act 2023 data retention or consent terms found)

Clause-by-Clause Findings & Redlines

Clause 01 [NOT ASSESSED]

Original: "1. Payment Terms: Invoices payable within 30 days."

Plain Meaning: Froggo did not identify high-risk non-compete, MSME payment delay, or IP sweep keywords in this clause. Not assessed for formal legal validity.

Why it matters to a Freelancer: Unassessed Term: Froggo did not identify specific statutory violations in this clause. Have qualified counsel review if it imposes unexpected freelancer obligations.

Suggested Negotiation Question: "Review with qualified legal counsel if this clause impacts core deliverables or personal liability."

Clause 02 [HIGH]

Original: "2. Non-Compete: Contractor shall not work for any competitor for 12 months."

Plain Meaning: This clause attempts to restrain you from working with competing businesses or clients after termination. In India, post-employment non-compete covenants are generally held void under Section 27 of the Indian Contract Act, 1872.

Why it matters to a Freelancer: Independent Business Risk: Post-Termination Non-Compete Restraint directly restricts your client billing pipeline or exposes you to unpaid cash-flow delays beyond the 45-day statutory limit.

Suggested Negotiation Question: "Request replacing this post-termination restriction with a standard non-solicitation and proprietary trade secrets confidentiality covenant."

Clause 03 [NOT ASSESSED]

Original: "3. Intellectual Property: Rights transfer upon full payment."

Plain Meaning: Froggo did not identify high-risk non-compete, MSME payment delay, or IP sweep keywords in this clause. Not assessed for formal legal validity.

Why it matters to a Freelancer: Unassessed Term: Froggo did not identify specific statutory violations in this clause. Have qualified counsel review if it imposes unexpected freelancer obligations.

Suggested Negotiation Question: "Review with qualified legal counsel if this clause impacts core deliverables or personal liability."

Missing Protective Clauses to Request

+ MSME Section 15 & 16 Payment and Compound Interest Protection

Recommended wording: "Payment terms shall not exceed 15 days (and in no case beyond 45 days per Section 15 of the MSMED Act, 2006). Overdue invoices accrue compound interest at three times the RBI bank rate per Section 16."

+ Pre-Existing IP Carve-Out & Payment-Linked Transfer

Recommended wording: "Title to custom deliverables transfers to the Client only upon full and final payment of all fees. The Contractor retains full ownership of pre-existing code libraries, utilities, and general know-how."

+ Section 194J(b) 2% Technical TDS Specification

Recommended wording: "TDS shall be deducted at 2% for technical/software services under Section 194J(b) of the Income Tax Act, 1961, and Form 16A certificates shall be furnished quarterly."

+ Defined Revision Scope & Written Change Orders

Recommended wording: "Fees include up to two (2) rounds of revisions within thirty (30) days of initial delivery. Material additions or scope alterations require a written Change Order with agreed additional fees."

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